



Forging Stronger India-Iraq Partnerships Through Trade, Innovation, and Shared Prosperity



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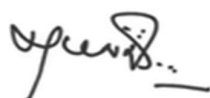
Foreword

India and Iraq share a civilisational relationship that predates the modern nation-state, rooted in centuries of trade across the Persian Gulf and the historic exchange of goods, ideas and people between the Indus Valley and Mesopotamia. In the contemporary era, this relationship has matured into a substantive economic partnership, with Iraq consistently ranking among India's principal sources of crude oil and India emerging as a valued partner for Iraq's civilian, agricultural and healthcare requirements.

CCI India, as a national chamber committed to advancing the interests of Indian industry in emerging and re-emerging markets, views Iraq as a market of considerable strategic significance. Iraq's reconstruction priorities, its large consumer base, its dependence on imported food staples, pharmaceuticals and capital goods, and its geographic position at the crossroads of the Gulf, the Levant and Central Asia together present a distinctive opportunity for Indian enterprise.

This report has been prepared to provide a structured, factual and actionable overview of the Iraqi economy and of the avenues available to Indian companies, particularly small and medium enterprises, to participate in Iraq's growth story. It also sets out, in some detail, the institutional role that CCI India proposes to play in facilitating this engagement, from trade promotion and business delegations to sector-specific partnerships in agriculture, pharmaceuticals, engineering and allied fields.

I extend my appreciation to all those who contributed research, analysis and institutional insight to this report, and I hope it serves as a useful reference for policymakers, diplomats, industry leaders and investors interested in strengthening the India-Iraq economic relationship.

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CCI India

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IRAQ

“ Step into the cradle of civilization where ancient stories began. Every journey connects you with history, resilience, and enduring culture.



Basic Facts, Population, and Currency

The Republic of Iraq is a country located in Western Asia, often historically referred to as Mesopotamia, the "Cradle of Civilization."¹ Bounded by six neighboring countries (Iran, Jordan, Kuwait, Saudi Arabia, Syria, and Turkey)

and possessing a small coastline on the Persian Gulf, The capital and largest city is Baghdad. As of recent estimates (e.g., 2024/2025), Iraq's Population stands at approximately 47 to 48 million people. A significant portion of the population (about 62–72%) resides in urban areas. The country's official Currency is the Iraqi Dinar.

Economy and GDP

The Iraq economy is highly dependent on oil, which accounts for over 90% of exports, about 85% of government revenue, and around 40% of GDP, estimated at nearly \$258 billion in 2025. While classified as an upper-middle-income country, it faces challenges due to conflict, instability, and reliance on oil prices.

The non-oil sector remains weak despite gradual recovery, with issues like poor infrastructure and inefficiencies. Although rising oil prices have supported recent growth, ongoing reforms aim to diversify the economy, improve governance, and ensure long-term stability, though progress has been slow.

Bilateral Trade

Bilateral trade between India and Iraq is largely driven by the energy sector, with Iraq being one of India's major suppliers of crude oil. Oil imports form the backbone of this relationship, ensuring energy security for India. In return, India exports goods such as pharmaceuticals, machinery, food products, and construction materials to Iraq. While the trade balance is heavily in Iraq's favor due to large oil exports, both countries are working to expand cooperation in sectors like infrastructure, healthcare, and technology. Continued engagement and economic cooperation offer opportunities to diversify trade and strengthen long-term bilateral ties.



“ Culture and Heritage

Iraq has a rich culture and heritage shaped by some of the world's oldest civilizations, including ancient Mesopotamia. It is known as the “Cradle of Civilization” because early writing, laws, and cities developed there. Historic sites like Mesopotamian Civilization and ancient cities reflect its deep historical roots. Iraqi culture values family, hospitality, poetry, and traditional music.

Economic Ties and Bilateral Trade with India

Economic Ties and Bilateral Trade between India and Iraq

- Iraq is one of India's major energy partners and a key supplier of crude oil.
- India imports large quantities of petroleum products from Iraq, supporting India's energy security.
- Bilateral trade between India and Iraq reached around US\$33–37 billion in recent years, making Iraq one of India's top trade partners. India mainly imports crude oil, sulphur, and other mineral products from Iraq.
- India exports pharmaceuticals, rice, tea, machinery, textiles, engineering goods, and consumer products to Iraq.

Key Players in Import and Export

Major Indian Exporters to Iraq

- Tata Motors – Exports commercial vehicles, buses, and automobile parts to Iraq.
- Bajaj Auto – Supplies motorcycles and three-wheelers widely used in Iraqi markets.
- Sun Pharmaceutical Industries – Exports medicines and healthcare products.
- Dr. Reddy's Laboratories – Provides generic medicines and medical supplies.
- Mahindra & Mahindra – Exports tractors, utility vehicles, and machinery.
- ITC Limited – Exports food products, packaged goods, and agricultural items.

Major Iraqi Exporters to India

- State Oil Marketing Organization – Main exporter of crude oil from Iraq to India.
- Basra Oil Company – Plays a major role in Iraq's crude oil production and export.
- North Oil Company – Supplies oil from northern Iraqi fields.

Key Indian Importers of Iraqi Goods

- Indian Oil Corporation – Imports crude oil from Iraq for refining.
- Bharat Petroleum Corporation Limited – Purchases Iraqi crude oil for domestic fuel production.
- Hindustan Petroleum Corporation Limited – Imports crude oil and energy products from Iraq.
- Reliance Industries – Imports crude oil for refinery operations.



Chapter 1: About Iraq

1.1 Geography and Strategic Location

Iraq is located in the Middle East, bordered by Turkey to the north, Iran to the east, Kuwait and Saudi Arabia to the south, and Jordan and Syria to the west. Its brief coastline on the Persian Gulf, centred on the port city of Basra and the deep-water port of Umm Qasr, provides its principal maritime outlet. Iraq's territory is dominated by the Tigris and Euphrates river system, the historic Mesopotamian floodplain that gave rise to some of the earliest urban civilisations in human history. The country's geography positions it as a natural land bridge between the Gulf states, the Levant, Turkey and Iran.

1.2 History

Modern Iraq emerged from the former Ottoman provinces of Mosul, Baghdad and Basra following the First World War, administered initially as a British mandate before achieving independence in 1932. The republic was established in 1958 following the overthrow of the Hashemite monarchy. The late 20th and 21st centuries were marked by significant upheaval, including the Iran-Iraq War of the 1980s, the Gulf War of 1991, international sanctions through the 1990s, and the 2003 intervention that ended the Ba'athist government of Saddam Hussein. Since 2005, Iraq has operated as a federal parliamentary democracy, and the years following the territorial defeat of the Islamic State in 2017 have been characterised by a gradual, if uneven, process of stabilisation and reconstruction.

1.3 Administrative Divisions

Iraq is divided into eighteen governorates, of which three, Erbil, Sulaymaniyah and Dohuk, form the Kurdistan Region, a constitutionally recognised federal entity with its own regional government based in Erbil. Baghdad Governorate contains the capital and largest city, while Basra Governorate in the south hosts the bulk of Iraq's oil export infrastructure and its principal ports.

1.4 Demographics

Iraq has a population of over 45 million, making it one of the most populous countries in the Middle East, with a young demographic in which a large share of the population is under 30. Arabic is the official language, while Kurdish is also official in the Kurdistan Region, alongside widely spoken Turkmen and Assyrian. The population is predominantly Muslim, comprising significant Shia and Sunni communities, with smaller Christian, Yazidi, and other minority groups.

1.5 Political System

Iraq is a federal parliamentary republic. The Council of Representatives is the unicameral national legislature, which elects the President as head of state; executive authority rests with the Prime Minister, who leads the Council of Ministers. The Kurdistan Regional Government exercises devolved authority over the three Kurdistan governorates. Government formation in Iraq typically follows a period of negotiation among the major Shia, Sunni and Kurdish political blocs, reflecting the country's consociational approach to power-sharing.

1.6 Economy and Currency

The Iraqi economy is structured overwhelmingly around hydrocarbons, with the petroleum sector accounting for the large majority of both government revenue and export earnings. The Iraqi dinar (IQD) is the national currency, managed by the Central Bank of Iraq. Non-oil sectors, principally agriculture, construction, trade and public services, contribute the balance of economic activity, and successive governments have articulated diversification as a stated policy priority, even as implementation has been constrained by governance capacity, infrastructure deficits and periodic instability.

1.7 Natural Resources

Iraq holds among the largest proven crude oil reserves in the world, concentrated principally in the southern fields around Basra and in the Kirkuk fields in the north. The country also possesses substantial natural gas reserves, much of which has historically been flared rather than captured, representing both an environmental liability and a latent opportunity for gas capture and processing investment. Iraq's agricultural resource base, centred on the Tigris-Euphrates system, has historically supported cultivation of wheat, barley, dates and other crops, though water scarcity and upstream damming in neighbouring countries have placed increasing strain on irrigation capacity.

1.8 Climate

Iraq has an arid to semi-arid climate, with extremely hot, dry summers, particularly in the southern and central regions, and mild, wetted winters concentrated in the north. Rainfall is generally insufficient to support rain-fed agriculture across most of the country, making irrigation from the Tigris and Euphrates essential to the agricultural sector.

Key Takeaways

- Iraq is a resource-rich, strategically located federal republic with a young, large population exceeding 45 million.
- The economy remains structurally dependent on hydrocarbons, with diversification identified as a long-standing but only partially realised policy priority.
- Iraq's geography positions it as a natural trade and logistics corridor linking the Gulf, the Levant, Turkey and Iran.

Opportunities for India

- A large, young consumer base with sustained import demand for food staples, pharmaceuticals and consumer goods.
- Long-term infrastructure and reconstruction requirements across power, water, transport and housing.
- Underdeveloped non-oil sectors, particularly agriculture and light manufacturing, where Indian expertise and technology transfer can add value.

Role of CCI India

- Develop a standing Iraq desk to track sectoral developments and disseminate market intelligence to Indian member companies.
- Curate country-specific briefing material for Indian businesses evaluating entry into the Iraqi market.

Chapter 2: Embassy of Iraq in India

2.1 Overview

The Embassy of the Republic of Iraq in New Delhi is Iraq's principal diplomatic mission in India, responsible for managing bilateral political, economic, cultural, and consular relations between the two countries. It serves as the primary institutional channel through which Iraqi government priorities are communicated to Indian authorities and facilitates high-level diplomatic engagement, trade promotion, and investment cooperation. The Embassy also supports Indian businesses by providing commercial guidance, fostering business partnerships, and assisting with trade and investment opportunities in Iraq. In addition, it offers essential consular services, including visa processing, document authentication, and assistance to Iraqi nationals in India, while facilitating travel, education, and cultural exchanges between the two nations.

2.2 Diplomatic Relations

India and Iraq established diplomatic relations at the embassy level shortly after India's independence in 1947, among the earliest such relationships India established in the Middle East. The two countries signed a Treaty of Perpetual Peace and Friendship in 1952, followed by a cultural cooperation agreement in 1954, laying an institutional foundation that has endured, with periodic interruptions, through subsequent decades of regional turbulence.

2.3 Embassy Functions and Services

In common with diplomatic missions generally, the Embassy of Iraq in New Delhi discharges consular functions including visa issuance, passport and travel document services for Iraqi nationals resident in India, and support to the Iraqi community in India. On the commercial side, the Embassy facilitates introductions between Iraqi government entities and Indian companies, supports participation of Iraqi delegations in Indian trade fairs and exhibitions, and communicates Iraqi market access requirements, tender opportunities and regulatory developments to interested Indian stakeholders.

2.4 Trade Promotion Role

The Embassy has historically supported Iraqi participation in Indian trade exhibitions across sectors including food and agriculture, information technology and general merchandise, providing a platform for direct engagement between Iraqi buyers and Indian exporters. This trade promotion function complements the work of Indian chambers of commerce, including CCI India, in building durable commercial linkages between the two markets.

2.5 Bilateral Engagement Mechanisms

Bilateral engagement between India and Iraq is conducted through a combination of high-level political visits, ministerial exchanges, and sector-specific dialogue, including engagement between the two countries' oil and energy ministries given the centrality of hydrocarbons to the relationship. Joint mechanisms for trade and economic cooperation have periodically been proposed and convened to provide structured avenues for addressing market access issues, payment mechanisms and logistics constraints affecting bilateral commerce.

Key Takeaways

- The Embassy of Iraq in New Delhi is the principal channel for bilateral political, consular and commercial engagement.
- Diplomatic relations, dating to 1947 and formalised in 1952, provide a long-standing institutional foundation for economic cooperation.
- Embassy-supported participation in Indian trade fairs has historically been an effective vehicle for direct buyer-seller engagement.

Opportunities for India

- Structured engagement with the Embassy's commercial wing to identify Iraqi tender opportunities and procurement priorities.
- Joint participation in trade fairs and exhibitions in both countries to build sustained buyer-seller relationships.

Role of CCI India

- Establish a formal working relationship with the Embassy of Iraq in New Delhi to facilitate regular business-to-business dialogue.
- Coordinate Indian industry participation in Iraq-focused trade promotion events organised by or with the Embassy.
- Serve as a single point of contact for Indian MSMEs seeking introductions to Iraqi commercial counterparts.

Chapter 3: India-Iraq Bilateral Relations

3.1 Political Engagement

India and Iraq have sustained a broadly cooperative political relationship since the establishment of diplomatic ties in 1947, formalised through the 1952 Treaty of Perpetual Peace and Friendship. India recognised successive Iraqi governments and maintained diplomatic representation in Baghdad through periods of considerable regional instability, including the Iran-Iraq War, the Gulf War, the sanctions era of the 1990s, and the post-2003 political transition. High-level political engagement has continued in the post-2003 period through ministerial visits, bilateral consultations, parliamentary exchanges, and the exchange of congratulatory messages on the formation of new governments. Both countries have consistently reaffirmed their commitment to strengthening cooperation in areas such as trade, energy, investment, healthcare, education, and capacity building. They also maintain regular engagement in multilateral forums, supporting dialogue on regional stability, economic development, counter-terrorism, and international cooperation, reflecting the long-standing and mutually beneficial nature of India–Iraq relations.

3.2 Trade Relations

Bilateral trade between India and Iraq is dominated by energy, with crude oil and refined petroleum products constituting the overwhelming majority of Iraqi exports to India. Iraq has ranked among India's top two or three sources of crude oil for over a decade, with total Iraqi crude and petroleum product exports to India valued at approximately USD 29.6 billion in 2024, of which roughly USD 28.6 billion was crude oil.

Iraq has historically held a market share of approximately 20 percent of India's total crude oil imports, positioning it as India's second-largest supplier after Russia in recent years, having previously been the largest supplier prior to the increase in Russian crude flows to India from 2022 onward.

On the other side of the ledger, India's exports to Iraq have grown steadily, reaching approximately USD 3.4 billion in the 2023-24 Indian fiscal year, an increase of around 24 percent over the prior year. Indian exports to Iraq span rice (including basmati rice), pharmaceuticals, tea, sugar, processed foods, machinery, plastics and a range of manufactured goods, reflecting Iraq's dependence on imports across food staples, medicines and capital goods.

Table 3.1: India-Iraq Trade Snapshot

Indicator	Value	Period
Iraqi crude and petroleum product exports to India	Approximately USD 29.6 billion	2024
Iraq's share of India's total crude oil imports	Approximately 20 percent	2024
India's exports to Iraq	Approximately USD 3.4 billion	FY 2023-24
Growth in India's exports to Iraq	Approximately 24 percent year-on-year	FY 2023-24

3.3 Investment

Formal two-way investment between India and Iraq remains modest relative to the scale of the trade relationship, reflecting Iraq's investment climate constraints, including regulatory uncertainty, security considerations in earlier years, and banking and payment system limitations. Indian companies have engaged with Iraq principally through trade rather than direct investment, though opportunities exist for Indian participation in Iraqi reconstruction, agriculture and manufacturing projects as the investment climate continues to develop.

3.4 Energy Cooperation

Energy cooperation forms the backbone of the India-Iraq relationship, with Iraq serving as a consistent and reliable source of crude oil for Indian refiners. Ministerial engagement between the two countries' oil and petroleum ministries has been a recurring feature of the relationship, including visits by Iraqi oil ministers to India to discuss long-term supply arrangements and potential Indian participation in Iraqi upstream and midstream projects.

3.5 Education

India has historically been a preferred destination for Iraqi students, particularly in medical and engineering disciplines, owing to the quality and comparative affordability of Indian higher education relative to Western alternatives. This educational relationship has also served as a soft-power foundation for broader people-to-people ties between the two countries.

3.6 Healthcare

Iraqi patients have long travelled to India for medical treatment across specialties including cardiology, oncology, orthopaedics and organ transplantation, drawn by the combination of clinical quality, cost competitiveness and the availability of Arabic-language patient support services at major Indian hospital chains. This medical tourism relationship represents one of the more dynamic and underappreciated dimensions of the bilateral relationship.

3.7 Defence Cooperation

Defence and security cooperation between India and Iraq has historically been limited relative to India's defence relationships elsewhere in the Gulf, though both countries have expressed interest in expanding cooperation in areas such as training and capacity building, reflecting Iraq's ongoing security sector reform priorities.

3.8 Cultural Relations

Cultural exchange between India and Iraq draws on a civilisational relationship dating back millennia, with documented trade and cultural contact between the Indus Valley and Mesopotamian civilisations. Contemporary cultural cooperation includes exchanges in the fields of art, literature and academic scholarship, supported periodically by cultural cooperation agreements between the two governments.

3.9 Future Roadmap

The trajectory of India-Iraq relations points toward deeper economic diversification beyond the energy trade that has historically defined the relationship. Priority areas for future cooperation include expanded agricultural trade, pharmaceutical exports, healthcare partnerships, participation of Indian companies in Iraqi reconstruction and infrastructure projects, and greater institutional engagement between the two countries' chambers of commerce and industry associations to support MSME-to-MSME linkages.

Key Takeaways

- Energy trade anchors the bilateral relationship, with Iraq a consistent top-three crude oil supplier to India, worth approximately USD 29.6 billion in 2024.
- India's non-energy exports to Iraq, spanning rice, pharmaceuticals and manufactured goods, are growing at a healthy pace, up approximately 24 percent in FY 2023-24.
- Healthcare and education represent significant, if less visible, pillars of the relationship, with sustained flows of Iraqi patients and students to India.

Opportunities for India

- Diversify bilateral trade beyond energy by expanding exports of basmati rice, pharmaceuticals, processed foods and engineering goods.
- Deepen medical tourism partnerships between Indian hospital chains and Iraqi referral networks.
- Explore Indian participation in Iraqi reconstruction, agriculture modernisation and light manufacturing projects.

Role of CCI India

- Convene an India-Iraq Business Council to institutionalise regular dialogue between chambers, industry associations and government departments.
- Support Indian pharmaceutical, agricultural and healthcare companies in identifying Iraqi market entry partners.
- Facilitate delegation visits in both directions to translate diplomatic goodwill into concrete commercial outcomes.

Chapter 4: Iraq Economy

4.1 Structure and Recent Performance

Iraq's economy remains among the most oil-dependent in the world, with the hydrocarbons sector accounting for the majority of real GDP, the large majority of government revenue and the overwhelming majority of export earnings. Non-oil GDP has, in recent years, been the more dynamic component of growth, supported by an expansionary fiscal stance following the formation of a new government in October 2022 and the passage of Iraq's first three-year federal budget. Overall real GDP contracted by approximately 2.2 percent in 2023, driven primarily by a decline in oil production following the halt of exports through the Iraq-Turkey pipeline and an OPEC+ production cut, even as non-oil GDP rebounded strongly over the same period.

The International Monetary Fund projected a return to positive overall growth in 2024, with a further acceleration expected in 2025, contingent on oil production and prices.

4.2 Key Economic Indicators

Table 4.1: Iraq Key Economic Indicators (Pre-2026 Baseline)

Indicator	Value	Period
Population	Approximately 46 million	2024
Nominal GDP	Approximately USD 280 billion	2024
GDP per capita	Approximately USD 4,180	2024
Real GDP growth	Contraction of approximately 2.2 percent, oil-driven	2023
Fiscal balance	Deficit of approximately 1.3 percent of GDP, from an 8.9 percent surplus in 2022	2023
Consumer price inflation	Approximately 2.7 to 4.5 percent through the year	2024
Public debt	Approximately 48 percent of GDP	2024 (IMF projection)
FDI stock	Approximately USD 112 billion	2023

4.3 Inflation

Consumer price inflation in Iraq eased considerably through 2023 and 2024, supported by lower international food prices, a currency revaluation implemented in February 2023, and the normalisation of trade finance channels following earlier disruptions in dollar liquidity. Core inflation, which had edged toward 4.5 percent by late 2023 on higher transport and household goods costs, moderated further into 2024, providing a relatively stable pricing environment for planning purposes by regional standards.

4.4 Employment and Labour Market

Iraq's labour market is characterised by a large public sector wage bill, among the highest in the region relative to GDP, alongside persistently elevated unemployment and low labour force participation, particularly among youth and women.

The working-age population is projected to grow rapidly, adding a substantial number of new job market entrants each year, a dynamic that IMF staff have assessed will require non-oil GDP growth in the order of five percent annually over the coming decade to meaningfully reduce unemployment. This underscores the structural importance of private sector development and non-oil export diversification to Iraq's medium-term economic stability.

4.5 Trade

Iraq's external trade is dominated by hydrocarbon exports, which account for the overwhelming majority of total export value, with crude petroleum shipped principally to China, India, South Korea, the United States and Greece. On the import side, Iraq relies heavily on imported food, medicine, machinery and manufactured goods, sourced principally from the United Arab Emirates, China, Iran, India and other regional and Asian suppliers, reflecting the still-limited scale of Iraq's domestic manufacturing base.

4.6 Investment Climate

Iraq's investment climate has historically been constrained by an outsized state footprint in the economy, bureaucratic red tape, corruption, underdeveloped infrastructure and limited access to credit for private enterprises, factors repeatedly flagged in IMF Article IV consultations as impediments to private sector-led growth. Nonetheless, the National Investment Commission and provincial investment commissions provide a formal legal framework for foreign and domestic investment, and reconstruction, housing and agriculture have periodically attracted renewed policy attention as priority areas for investment facilitation.

4.7 Fiscal Policy

Iraq's fiscal position swung from a surplus of nearly 9 percent of GDP in 2022, driven by elevated oil prices, to a deficit of approximately 1.3 percent of GDP in 2023 and a further projected widening thereafter, as a large fiscal expansion, including substantial increases in public sector salaries and pensions, took hold following passage of the 2023-25 budget. The IMF has consistently recommended fiscal adjustment centred on containing the public wage bill, mobilising non-oil tax revenue and strengthening the efficiency of capital expenditure, in order to preserve fiscal and external sustainability over the medium term.

4.8 Oil Dependency and Diversification Efforts

Oil dependency remains the defining structural feature of the Iraqi economy, with hydrocarbons accounting for the large majority of fiscal revenue and export earnings despite contributing a comparatively smaller, though still dominant, share of real GDP. Successive Iraqi governments have articulated economic diversification as a policy priority, with initiatives spanning gas capture to reduce flaring, agricultural revitalisation, industrial zone development and private sector reform. IMF staff analysis has emphasised that a durable diversification strategy will require a substantial expansion of Iraq's currently negligible non-oil export base, alongside deep structural reforms to the business environment and the financial sector.

Key Takeaways

- Iraq's economy remains structurally dependent on oil for the large majority of fiscal revenue and export earnings, even as non-oil GDP has shown resilient growth in recent years.
- Inflation has moderated to comparatively low single digits, providing a stable pricing backdrop, while fiscal deficits have widened on the back of an expansionary budget stance.
- Diversification, private sector development and financial sector reform are consistently identified by the IMF and Iraqi policymakers as the central medium-term economic priorities.

Opportunities for India

- Support Iraq's diversification agenda through Indian expertise in agriculture, light manufacturing, IT services and pharmaceuticals.
- Participate in gas capture, processing and power sector projects that address flaring and electricity shortfalls.
- Engage with Iraq's National Investment Commission on reconstruction, housing and agricultural investment opportunities.

Role of CCI India

- Track Iraq's fiscal and budgetary cycle to advise Indian exporters and investors on timing and sectoral priorities.
- Facilitate dialogue between Indian financial institutions and Iraqi banking sector reform initiatives.
- Support Indian MSMEs in navigating Iraq's investment commission processes and regulatory requirements.

Chapter 5: Major Challenges Facing Iraq

Iraq's long-term development is shaped by a set of interlocking structural challenges that span economic, environmental and institutional dimensions. This chapter surveys the principal challenges identified by Iraqi policymakers and multilateral institutions, and for each, outlines the associated business opportunity and the potential contribution of Indian industry and CCI India.

5.1 Oil Dependency

As detailed in Chapter Four, hydrocarbons account for the large majority of Iraq's fiscal revenue and export earnings, leaving the economy acutely exposed to oil price volatility and production disruptions. The Iraqi government has repeatedly identified diversification as a strategic priority, though implementation has been constrained by the scale of public sector employment tied to oil revenues and the slow pace of non-oil private sector development.

This dependency creates a durable opening for Indian companies offering non-oil goods and services, from agriculture and food processing to pharmaceuticals and light engineering, that can help build the diversified supply base Iraq's own diversification strategy requires. CCI India can support Indian companies in identifying non-oil sectors where Iraqi import substitution needs are most acute.

5.2 Economic Diversification

Non-oil sectors, including agriculture, construction, trade and light manufacturing, contribute a growing but still modest share of Iraq's fiscal base, with non-oil tax revenue mobilisation identified by the IMF as a central pillar of any credible medium-term reform programme. Industrial zones, agricultural revitalisation programmes and small business support schemes have been periodically announced, though execution capacity remains a constraint.

Indian expertise in building MSME ecosystems, industrial cluster development and agricultural value chains is directly relevant to Iraq's diversification goals. CCI India can facilitate knowledge exchange between Indian industrial cluster models and Iraqi provincial investment commissions.

5.3 Infrastructure Deficit

Decades of conflict and underinvestment have left Iraq with substantial infrastructure gaps across power generation and transmission, water supply, transport networks, ports and urban housing. Rebuilding and modernising this infrastructure is central to both economic diversification and improved living standards.

Indian engineering, procurement and construction firms, along with equipment manufacturers, are well positioned to participate in Iraqi infrastructure tenders, particularly in power transmission, water treatment and road construction. CCI India can help Indian EPC companies identify and navigate Iraqi infrastructure tender processes.

5.4 Water Scarcity

Iraq faces mounting water stress driven by reduced flows in the Tigris and Euphrates rivers, upstream damming in neighbouring countries, and inefficient irrigation practices that place growing strain on agriculture and municipal supply. Water scarcity has direct implications for food security and rural livelihoods.

Indian companies with expertise in drip and micro-irrigation, water treatment and river basin management offer relevant, cost-competitive solutions for Iraqi agricultural and municipal water authorities. CCI India can support pilot partnerships between Indian irrigation technology firms and Iraqi agricultural cooperatives.

5.5 Climate Change

Iraq is widely regarded as one of the country's most vulnerable to climate change in the Middle East, facing rising temperatures, more frequent dust storms, declining precipitation and increasing desertification, all of which compound existing water and food security pressures.

Opportunities exist for Indian renewable energy, climate-resilient agriculture and water management companies to support Iraqi adaptation efforts. CCI India can help position Indian climate technology providers within Iraq's emerging climate adaptation planning processes.

5.6 Food Security

Iraq imports a substantial share of its food requirements, including staples such as rice and wheat, reflecting constraints on domestic agricultural productivity linked to water scarcity, ageing irrigation infrastructure and limited mechanisation. Government food subsidy programmes remain an important, if fiscally significant, social safety net.

India's position as a leading global exporter of rice, including basmati rice, alongside wheat, sugar and processed foods, makes it a natural partner for Iraqi food security needs, discussed further in Chapter Six. CCI India can support structured government-to-government and business-to-business engagement on food trade and agricultural technology transfer.

5.7 Healthcare

Iraq's healthcare system, though improved since the 2000s, continues to face capacity constraints in specialised tertiary care, medical equipment availability and pharmaceutical supply, driving continued outbound medical travel by Iraqi patients, particularly to India and Jordan.

Indian hospital chains, medical device manufacturers and generic pharmaceutical companies have a substantial opportunity to deepen healthcare partnerships with Iraqi providers, examined further in Chapter Six. CCI India can facilitate hospital-to-hospital partnerships and pharmaceutical distribution linkages.

5.8 Education

Iraq's education system faces challenges of school infrastructure, teacher training and curriculum modernisation, alongside a growing youth population that will require substantially expanded higher education and vocational training capacity over the coming decade.

Indian educational institutions and edtech companies can play a role in higher education partnerships, scholarships and vocational training programmes for Iraqi students. CCI India can support scholarship and twinning arrangements between Indian and Iraqi educational institutions.

5.9 Banking Modernisation

Iraq's banking sector remains dominated by state-owned banks that the IMF has identified as requiring significant restructuring, alongside a largely cash-based economy with limited digital payment penetration and constrained access to credit for private businesses and MSMEs.

Indian banking technology and fintech companies possess relevant, cost-effective digital banking and payments solutions that could support Iraqi financial inclusion efforts. CCI India can help introduce Indian fintech providers to Iraqi banking sector modernisation initiatives.

5.10 Housing

Population growth, urbanisation and the legacy of conflict-related displacement have created a substantial housing deficit in Iraq, particularly in and around Baghdad and Basra, with demand consistently outstripping the pace of new construction.

Indian construction and building materials companies, along with affordable housing developers, can find opportunities in Iraqi housing reconstruction and new development projects. CCI India can support Indian construction firms in identifying housing sector tenders and joint venture partners.

5.11 Logistics

Iraq's logistics infrastructure, including ports, road networks and customs processes, remains a constraint on both domestic commerce and international trade facilitation, with the port of Umm Qasr serving as the country's principal maritime gateway.

Indian logistics and supply chain companies, along with port equipment manufacturers, can contribute to modernising Iraqi logistics infrastructure and customs processes. CCI India can facilitate exchanges on port modernisation and logistics technology between Indian and Iraqi counterparts.

5.12 Digital Transformation

Digital government services, e-commerce infrastructure, and broadband penetration in Iraq continue to lag behind regional peers, although rapid growth in mobile phone and internet usage has created significant demand for digital public services, e-commerce, fintech, and online business solutions. As Iraq accelerates its digital transformation agenda, opportunities are emerging in areas such as e-governance, cybersecurity, cloud services, digital payments, and smart city technologies.

Indian IT services companies, with extensive experience in delivering large-scale digital public infrastructure and enterprise technology solutions, are well positioned to support these initiatives. CCI India can play a key role by facilitating IT sector delegations, business partnerships, knowledge exchange, and engagement with Iraqi government agencies and digital transformation authorities.

5.13 Environmental Issues

Beyond climate change, Iraq faces acute environmental challenges including gas flaring, water pollution, inadequate waste management and air quality degradation in major urban centres, each with direct public health implications.

Indian environmental engineering and waste management companies can support Iraqi municipalities in developing modern environmental management systems. CCI India can help connect Indian environmental technology providers with Iraqi municipal authorities.

5.14 Private Sector Development

Iraq's private sector remains underdeveloped relative to the size of the economy, constrained by the large state footprint, limited access to credit, red tape and corruption, factors the IMF has consistently flagged as impediments to broad-based, private sector-led growth.

Indian MSME development models, industrial cluster approaches and business incubation frameworks offer relevant lessons for Iraqi private sector reform. CCI India can support institutional dialogue on MSME policy frameworks between Indian and Iraqi industry bodies.

5.15 Youth Unemployment

With youth comprising a significant share of Iraq's population and the labour force projected to expand rapidly, unemployment among young Iraqis remains persistently elevated, a challenge the IMF has linked directly to the pace of non-oil private sector job creation.

Indian companies establishing operations or joint ventures in Iraq can contribute directly to youth employment, while Indian vocational training providers can support skill development aligned to labour market needs. CCI India can support skill development partnerships targeted at Iraqi youth employment priorities.

5.16 Investment Climate

As discussed in Chapter Four, Iraq's investment climate continues to face constraints from bureaucratic processes, governance gaps, and limited financial sector depth, even as a formal legal framework for investment exists through the National Investment Commission. While recent reforms aim to improve the business environment and attract foreign investment, implementation challenges and administrative inefficiencies continue to affect investor confidence.

Indian companies with experience navigating complex emerging market regulatory environments can adopt phased, partnership-based market entry strategies in Iraq. CCI India can provide advisory support to Indian companies on Iraqi investment approval processes.

5.17 Reconstruction Needs

Substantial reconstruction needs persist across housing, infrastructure and public facilities in areas affected by earlier conflict, representing both a fiscal burden for the Iraqi government and a significant addressable market for construction, engineering and equipment suppliers.

Indian construction, engineering and building materials companies can participate in reconstruction programmes, potentially in partnership with multilateral development agencies active in Iraq. CCI India can help Indian companies track reconstruction-related tender opportunities and donor-funded programmes.

Key Takeaway

- Iraq's development challenges are structurally interlinked, with oil dependency, infrastructure deficits and private sector underdevelopment reinforcing one another.

Opportunities for India

- Position Indian companies as long-term partners across Iraq's infrastructure, agriculture, healthcare and digital transformation priorities rather than one-off exporters.
- Leverage India's own experience in MSME development, digital public infrastructure and agricultural modernisation as transferable models for Iraqi policymakers.

Role of CCI India

- Establish sector-specific working groups covering infrastructure, agriculture, healthcare, banking technology and environmental management to match Indian capability with Iraqi need.
- Maintain ongoing engagement with Iraqi provincial investment commissions and relevant ministries to track reconstruction and diversification-linked tender opportunities.

Chapter 6: Sector-wise Opportunities

This chapter examines, sector by sector, the principal opportunities available to Indian industry in the Iraqi market. Each section reviews the current market landscape, industry size, key challenges, competitive dynamics, and the specific role CCI India can play in facilitating Indian participation through trade promotion, business matchmaking, and institutional engagement. It also highlights the potential for technology transfer, investment, and long-term commercial partnerships between Indian and Iraqi stakeholders. Given the breadth of sectors covered, this chapter is presented across two parts; this first part focuses on Oil and Gas, Agriculture, the Date Industry, Pharmaceuticals, Medical Tourism, and the Automobile Sector.

6.1 Oil and Gas

Current Status and Market Size

Iraq's oil and gas sector remains the backbone of its economy, with the country holding among the largest proven crude oil reserves in the world and hosting a substantial portfolio of international oil company operations across its southern fields. The sector's capital expenditure requirements span exploration and production, pipeline infrastructure, gas capture and processing, refining capacity expansion, and petrochemical development, representing a multi-billion-dollar addressable market for oilfield equipment, engineering services and specialised components.

Challenges

The sector is constrained by underinvestment in gas capture infrastructure, leading to continued gas flaring and reduced domestic power generation. Ageing pipelines, outdated refineries, and periodic security and contractual disputes affecting international oil companies further hinder development.

Investment Opportunities for Indian Companies

Indian companies are well positioned to supply Iraq's oil and gas sector with cost-competitive pipeline steel, API-grade pipes, OCTG, pumps, valves, and other oilfield equipment. Indian EPC firms can compete for refinery and petrochemical expansion projects, while their expertise in gas capture and small-scale LNG offers solutions to Iraq's gas flaring challenge.

Key Takeaway

- Iraq's oil and gas sector offers a large, multi-decade addressable market for Indian equipment suppliers and EPC contractors, extending well beyond crude trade.

Opportunities for India

- Supply of API pipes, OCTG, pumps and valves to Iraqi state oil companies and international operators.
- Participation in refinery upgrade, petrochemical and gas capture EPC tenders.

Role of CCI India

- Facilitate introductions between Indian oilfield equipment manufacturers and Iraqi state oil company procurement departments.
- Support Indian EPC firms in tracking and responding to Iraqi upstream and downstream tender opportunities.

6.2 Agriculture

Current Status and Market Size

Iraqi agriculture, concentrated along the Tigris-Euphrates system, faces structural constraints from water scarcity, ageing irrigation infrastructure and limited mechanisation, resulting in Iraq's continued dependence on imported staples including rice, wheat and various processed foods. Government food subsidy and rationing programmes remain an important channel for staple food distribution, providing a stable, if price-sensitive, demand base for imported agricultural commodities.

Challenges

Declining river flows, upstream damming in Turkey and Iran, soil salinity and limited access to modern farm machinery and inputs constrain domestic agricultural productivity, while smallholder farmers often lack access to affordable credit and extension services.

Investment and Trade Opportunities

India's agricultural exports to Iraq include rice, wheat, sugar, tea, and processed foods, while opportunities exist for Indian farm equipment, fertiliser, seed, and smart irrigation companies to support Iraq's agricultural modernisation. India's expertise in drip irrigation and water-efficient farming is especially valuable in addressing Iraq's severe water constraints.

Indian Basmati Rice

Iraq is one of the largest markets for Indian basmati rice and the leading importer of the 1121 basmati variety, accounting for around 35% of India's 1121 exports in the 12 months to October 2024. India, with over 70% of the global basmati market, dominates Iraq's basmati imports, ahead of Pakistan. Strong demand is driven by Iraqi consumer preference for long-grain aromatic rice and large-scale government procurement.

Indian exporters compete mainly with Pakistan on price and quality, with Indian 1121 and traditional basmati varieties recognized for their consistency and aroma. Distribution is supported by major importer-distributors, retail networks, traditional markets, and government procurement channels, making basmati rice one of the strongest pillars of India-Iraq trade, with further growth potential in the branded and premium segments.

Key Takeaway

- Iraq's agricultural import dependence, combined with acute water constraints, creates durable demand for both Indian food exports and agricultural technology. Basmati rice is one of the most mature and largest components of India's agricultural trade with Iraq, with India holding a dominant market share.

Opportunities for India

- Expand basmati rice exports through deeper distributor and government procurement relationships.
- Supply drip irrigation, farm machinery and agricultural inputs suited to Iraq's water-constrained growing conditions.

Role of CCI India

- Organise Indian Agri-exporter participation in Iraqi agricultural trade fairs and government procurement dialogues.
- Support Indian irrigation technology companies in piloting projects with Iraqi agricultural cooperatives and provincial authorities.

6.3 Date Industry

Current Status

Iraq has historically been one of the world's leading date-producing countries, with the crop holding deep cultural and economic significance, particularly in southern Iraq's palm groves around Basra. Decades of conflict, salinity intrusion and reduced river flows have diminished palm cultivation from its historic peak, though the sector remains an important source of rural livelihoods and a potential export earner.

Processing and Export Opportunities

Opportunities exist for Indian food processing companies and equipment manufacturers to partner with Iraqi date producers on modern processing, packaging and value-addition facilities, targeting both the Iraqi domestic market and export to India and other markets where dates are increasingly popular as a health food.

India, in turn, is itself a significant consumer of dates, importing substantial volumes primarily from Gulf and Iraqi-adjacent markets, suggesting potential for direct India-Iraq date trade alongside processing technology partnerships.

Key Takeaway

- Iraq's historic date industry offers a niche but culturally significant opportunity for Indian food processing technology and potential direct trade.

Opportunities for India

- Supply data processing, grading and packaging equipment to Iraqi producers and cooperatives.

Role of CCI India

- Facilitate technical exchange between Indian food processing equipment manufacturers and Iraqi date sector cooperatives.

6.4 Pharmaceuticals

Current Status and Market Size

Iraq's pharmaceutical market remains heavily import-dependent, with domestic manufacturing capacity limited relative to national demand, creating sustained reliance on imported generic medicines, active pharmaceutical ingredients, vaccines and medical devices. India, as the world's largest supplier of generic medicines by volume, is well positioned to serve this demand, alongside established regional suppliers.

Regulatory Environment and Challenges

Iraq's pharmaceutical regulatory and registration processes, managed through its Ministry of Health, along with periodic foreign exchange and payment mechanism constraints, have historically posed challenges for exporters, underscoring the value of established distribution partnerships and local regulatory expertise.

Opportunities for Indian Pharmaceutical Leadership

Indian pharmaceutical companies, drawing on their global reputation for quality generic manufacturing at competitive cost, have a substantial opportunity to expand exports of essential medicines, vaccines and medical devices to Iraq, as well as to explore local manufacturing or packaging partnerships that could support Iraq's own pharmaceutical self-sufficiency goals. Hospital equipment and diagnostic device suppliers similarly find opportunity given Iraq's ongoing healthcare infrastructure investment.

Key Takeaway

- Iraq's import-dependent pharmaceutical market aligns closely with India's position as a leading global generic medicine exporter.

Opportunities for India

- Expand exports of generic medicines, vaccines and medical devices through established Iraqi distribution partners.
- Explore local manufacturing or packaging joint ventures aligned with Iraqi self-sufficiency goals.

Role of CCI India

- Support Indian pharmaceutical companies in navigating Iraqi Ministry of Health registration requirements.
- Facilitate delegation visits connecting Indian pharma manufacturers with Iraqi distributors and hospital procurement officials.

6.5 Medical Tourism

Current Status and Scale

India has emerged as one of the leading medical tourism destinations for Iraqi patients, with Iraq ranking as the second-largest source of foreign medical tourists to India in 2024, contributing approximately 32,008 patients, behind only Bangladesh.

Iraqi patients primarily seek treatment in cardiology, oncology, orthopaedics, organ transplantation, and other specialised medical fields, attracted by India's high-quality healthcare, internationally accredited hospitals, and cost-effective treatment compared with Western countries. The availability of advanced medical technology, highly skilled specialists, shorter waiting times, direct flight connectivity, and streamlined medical visa procedures has further strengthened India's position as the preferred healthcare destination for Iraqi patients.

Hospital Partnerships and Telemedicine

Major Indian hospital chains have developed dedicated international patient services, including Arabic-speaking patient coordinators, to serve Iraqi and wider Middle Eastern patient flows. Opportunities remain for deeper collaboration through telemedicine consultation prior to travel, structured referral partnerships with Iraqi hospitals and physicians, and expanded post-treatment follow-up care coordination.

Key Takeaway

- Iraq is India's second-largest source of international medical tourists, reflecting a mature and growing healthcare partnership between the two countries.

Opportunities for India

- Deepen referral partnerships between Indian hospital chains and Iraqi physicians and clinics.
- Expand telemedicine and tele-consultation services to support pre- and post-travel patient care.

Role of CCI India

- Support Indian hospital groups in establishing structured referral partnerships with Iraqi healthcare providers.
- Facilitate healthcare sector delegations and medical tourism promotion activities targeted at Iraqi patients and referring physicians.

6.6 Automobile Sector

Market Overview and Commercial Vehicles

Iraq's automobile market, particularly for commercial vehicles, is shaped by demand from the logistics, construction, oil sector and public transport segments, with import-dependent supply given the absence of significant domestic vehicle manufacturing. Indian commercial vehicle manufacturers have established a meaningful presence in this market, competing alongside other regional and international brands.

Significance of Tata Motors in Iraq

Tata Motors has established a strong presence in Iraq's commercial vehicle market through its authorised representative, Menafith Al Iraq, which operates sales and after-sales service networks across Baghdad and Basra. Supporting trucks and buses used in construction, logistics, oilfield transport, and public transport, this model highlights the importance of local after-sales infrastructure in ensuring vehicle uptime and provides a scalable market entry strategy for other Indian automotive and component manufacturers.

Future Opportunities

Beyond commercial vehicles, opportunities exist for Indian passenger vehicle manufacturers, auto component suppliers and vehicle financing partnerships to expand within the Iraqi market as consumer purchasing power gradually recovers and as Iraq's road and logistics infrastructure continues to develop.

Key Takeaway

- Tata Motors established Iraqi dealer and service network demonstrates a proven model for Indian automotive market entry that other manufacturers can draw upon.

Opportunities for India

- Expand Indian commercial and passenger vehicle sales through localised dealer and after-sales service networks.
- Supply auto components and spare parts to support the existing Indian vehicle fleet in Iraq.

Role of CCI India

- Facilitate introductions between Indian auto component manufacturers and existing Indian vehicle distributors in Iraq.
- Support Indian automobile companies in evaluating Iraqi market entry and localisation strategies.

This second part of Chapter 6 continues the sector-by-sector review of opportunities for Indian industry in Iraq, covering infrastructure, renewable energy, manufacturing, MSMEs, the digital economy and information technology, education and skill development, tourism, logistics, construction, steel, engineering goods, water management, food processing, and banking and financial technology.

6.7 Infrastructure

Reconstruction and Development Needs

Decades of conflict, underinvestment and, more recently, the 2014-2017 campaign against ISIS have left substantial gaps in Iraq's roads, bridges, water and sanitation networks, power transmission systems and public buildings, particularly in Anbar, Nineveh and Salah al-Din provinces.

The Government of Iraq has pursued reconstruction financing through its own federal budget, bilateral development assistance and international financial institutions, with the Kuwait International Conference for the Reconstruction of Iraq having mobilised pledges from multiple donor countries and multilateral agencies in earlier years.

Financing and Project Delivery Models

A substantial share of Iraq's infrastructure programme is delivered through engineering, procurement and construction contracts awarded to international consortia, often financed through a combination of federal capital budgets, oil-for-reconstruction arrangements with major energy companies, and lines of credit extended by partner governments. Indian construction and engineering firms have participated in select infrastructure and power sector projects in Iraq, and further opportunities exist as Iraq continues to prioritise water treatment, urban roads, and electricity transmission and distribution upgrades.

Key Takeaway

- Iraq's reconstruction and infrastructure modernisation needs remain substantial, spanning transport, water, sanitation and power transmission.

Opportunities for India

- Pursue EPC and sub-contracting opportunities in road, bridge, water treatment and power transmission projects.
- Explore lines of credit and project financing routes, including through India's Exim Bank, to support Indian contractor participation.

Role of CCI India

- Compile and disseminate information on upcoming Iraqi infrastructure tenders and donor-financed projects to Indian contractors.
- Facilitate engagement between Indian EPC companies and Iraqi provincial reconstruction authorities.

6.8 Renewable Energy

Current Status and National Targets

Iraq aims to add around 12,000 MW of solar capacity by 2030 to help bridge the gap between its installed generation capacity of about 18,000 MW and peak electricity demand exceeding 30,000 MW. The Ministry of Electricity has partnered with leading international developers, including TotalEnergies, Masdar, and Power China, to develop large-scale solar projects across Basra, Karbala, and Al-Muthanna. Among these, the 1,000 MW Basra solar project, led by TotalEnergies in partnership with QatarEnergy, is one of the most advanced and is expected to significantly enhance Iraq's renewable energy capacity. These projects are part of the government's broader strategy to diversify the country's energy mix, reduce dependence on fossil fuels, improve energy security, and meet growing electricity demand while supporting long-term sustainability and economic development.

Financing and Emerging Opportunities

The Central Bank of Iraq has introduced low-interest loan facilities to support residential and commercial solar adoption, and the government has invited investment proposals for solar, wind and waste-to-energy projects. For Indian industry, opportunities exist in solar module and component supply, engineering and installation services, operations and maintenance contracts, and battery storage, particularly given India's own scaled domestic solar manufacturing capacity.

Key Takeaway

- Iraq's 12,000 MW solar target by 2030 and its existing generation shortfall create sustained demand for renewable energy investment and equipment.

Opportunities for India

- Supply solar modules, inverters, cabling and balance-of-system components to Iraqi and international project developers.
- Offer engineering, procurement, installation and long-term operations and maintenance services for utility-scale and rooftop solar.

Role of CCI India

- Connect Indian renewable energy equipment manufacturers with Iraqi project developers and the Ministry of Electricity.
- Support Indian solar EPC companies in evaluating joint venture and sub-contracting opportunities with established international developers active in Iraq.

6.9 Manufacturing

Current Status

Iraq's manufacturing base remains narrow relative to the size of its economy, with the sector accounting for a modest share of non-oil GDP and the country relying heavily on imports for consumer goods, building materials, machinery and intermediate industrial products. Domestic manufacturing is concentrated in food processing, construction materials, textiles and light consumer goods, with capacity constrained by inconsistent power supply, ageing industrial infrastructure and a challenging business environment.

Opportunities for Indian Participation

Indian manufacturers can participate in the Iraqi market both through direct exports of finished goods and through joint ventures or licensing arrangements for local assembly, particularly in sectors such as building materials, consumer durables, agricultural implements and light engineering goods where Iraqi demand significantly exceeds domestic production capacity.

Key Takeaway

- Iraq's manufacturing base is underdeveloped relative to its import demand, leaving substantial room for both exports and local partnership models.

Opportunities for India

- Export finished manufactured goods, particularly building materials, consumer durables and light engineering products.
- Explore joint venture and licensed local assembly arrangements with Iraqi industrial partners.

Role of CCI India

- Facilitate B2B matchmaking between Indian manufacturers and Iraqi distributors and industrial partners.
- Support Indian MSMEs in assessing local manufacturing and assembly partnership opportunities in Iraq.

6.10 MSMEs

Current Status

Micro, small and medium enterprises form the backbone of Iraq's private, non-oil economy, though the sector remains constrained by limited access to formal credit, an underdeveloped regulatory environment for business registration, and competition from informal economic activity. The Government of Iraq and international development partners have introduced targeted credit lines and capacity-building programmes aimed at strengthening the Iraqi MSME ecosystem as part of broader economic diversification efforts.

India-Iraq MSME Collaboration Potential

India's own extensive experience in MSME policy, cluster development and export promotion offers a natural basis for chamber-to-chamber and MSME-to-MSME collaboration with Iraq, spanning knowledge exchange, joint ventures in light manufacturing and services, and structured trade facilitation for smaller Indian exporters seeking to enter the Iraqi market.

Key Takeaway

- Iraqi MSMEs face constrained access to credit and formal business infrastructure, presenting both a challenge and a partnership opportunity for Indian institutions.

Opportunities for India

- Pursue MSME-to-MSME joint ventures and trade partnerships, particularly in light manufacturing, food processing and services.
- Share Indian MSME cluster development and export promotion practices with Iraqi counterparts.

Role of CCI India

- Organise MSME-focused trade delegations and buyer-seller meets between Indian and Iraqi small businesses.
- Support Iraqi MSME capacity building through knowledge exchange drawing on CCI India's institutional experience with Indian MSME development.

6.11 Digital Economy

Current Status

Iraq's digital economy has advanced through the Central Bank of Iraq's Digital Payment Regulation No. 2 of 2024, aimed at reducing the country's historic reliance on cash, and through a National Financial Inclusion Strategy covering 2025 to 2029 developed with the World Bank Group, the Arab Monetary Fund and other international partners. Despite this policy progress, Iraq's financial inclusion rate remains among the lowest in the Middle East, with formal bank account ownership well below regional peers, underscoring the scale of the digitalisation opportunity ahead.

Growth Drivers

Digital payments volumes in Iraq have grown substantially, with retail electronic card payments and mobile wallet transactions expanding year on year, supported by fintech platforms and the Central Bank's introduction of inter-wallet money transfer services. This growth trajectory, combined with a young and increasingly connected population, positions Iraq's digital economy as one of the faster-growing segments.

Key Takeaway

- Iraq's digital payments and financial inclusion agenda is advancing rapidly from a low base, driven by central bank regulatory reform. A young, increasingly connected population underpins strong medium-term growth potential for digital services.

Opportunities for India

- Partner with Iraqi banks and fintech platforms to deploy digital payment infrastructure and mobile banking solutions.
- Explore e-commerce and digital services market entry, leveraging India's own digital public infrastructure experience.

Role of CCI India

- Facilitate dialogue between Indian fintech and digital infrastructure companies and Iraqi financial sector regulators and institutions and share India's experience with digital public infrastructure and financial inclusion programmes as a reference point for Iraqi policymakers.

6.12 Information Technology

Current Status

Iraq's information technology sector remains at an early stage of development relative to regional peers, with government digitalisation initiatives, telecom infrastructure modernisation and a growing pool of young IT graduates providing the foundation for future growth. Demand for IT services spans government e-governance platforms, banking sector systems modernisation, and enterprise software for oil and gas, construction and logistics companies operating in Iraq.

Opportunities for Indian IT Companies

India's global reputation in IT services, software development and systems integration positions Indian companies to support Iraq's government digitalisation and banking modernisation programmes, either through direct project delivery, training partnerships, or capacity-building engagements with Iraqi technical institutions and ministries.

Key Takeaway

- Iraq's IT sector is at an early stage of development, with government digitalisation and banking modernisation programmes driving demand for services.

Opportunities for India

- Provide systems integration, software development and IT consulting services for Iraqi government and banking sector digitalisation projects.
- Offer IT training and capacity-building partnerships with Iraqi universities and technical institutes.

Role of CCI India

- Connect Indian IT services companies with Iraqi government digitalisation programmes and banking sector modernisation initiatives.
- Facilitate IT skill-transfer partnerships between Indian technology companies and Iraqi educational institutions.

6.13 Education

Current Status

Iraq's education system continues to recover from decades of conflict and underinvestment, with the government prioritising higher education capacity expansion, vocational training and international academic partnerships as part of its human capital development agenda.

A significant number of Iraqi students pursue higher education abroad, including in India, drawn by the affordability and quality of Indian medical, engineering and management education relative to Western alternatives.

India-Iraq Education Cooperation

Indian universities and educational institutions have an opportunity to deepen engagement with Iraq through scholarship programmes, twinning arrangements with Iraqi universities, and support for faculty development, building on the existing base of Iraqi students already enrolled in Indian institutions.

Key Takeaway

- Iraq's education system is rebuilding capacity, with a meaningful and growing flow of Iraqi students pursuing higher education in India.

Opportunities for India

- Expand Indian university outreach and scholarship offerings targeted at Iraqi students, particularly in medicine, engineering and management.
- Explore twinning and faculty exchange arrangements between Indian and Iraqi universities.

Role of CCI India

- Support Indian educational institutions in establishing recruitment and partnership channels with Iraqi universities and schools.
- Facilitate education fairs and institutional delegations connecting Indian universities with Iraqi students and academic institutions.

6.14 Skill Development

Current Status

Iraq's youth unemployment rate remains elevated, and the country's vocational and technical training infrastructure has not kept pace with the skills required by a modernising, diversifying economy. The Government of Iraq, alongside international development partners, has identified vocational training and technical skill development as a priority area for reducing youth unemployment and supporting private sector growth outside the hydrocarbons sector.

India's Skill Development Experience

India's extensive institutional experience in vocational training, delivered through national skill development missions, industrial training institutes and sector skill councils, offers a transferable model for Iraq.

Indian training providers and equipment suppliers can support the establishment of vocational training centres in trades relevant to Iraq's construction, oil and gas services, and manufacturing sectors.

Key Takeaway

- Elevated youth unemployment and gaps in vocational training infrastructure represent both a development priority and a market opportunity in Iraq.

Opportunities for India

- Establish or support vocational training centres in construction, oil field services and technical trades.
- Supply training equipment and curriculum development support drawing on Indian skill development institutions.

Role of CCI India

- Facilitate partnerships between Indian skill development institutions and Iraqi vocational training authorities.
- Support the transfer of India's sector skill council and industrial training institute models to Iraqi vocational education planning.

6.15 Tourism

Religious Tourism and Scale

Iraq hosts one of the largest annual gatherings of people in the world through the Arbaeen pilgrimage to the shrine cities of Karbala and Najaf, which draws tens of millions of pilgrims, the overwhelming majority Shia Muslims from Iraq, Iran and across the world, walking the roughly eighty-kilometre route between the two cities. This religious tourism segment, together with visits to Baghdad, Samarra and other historic and religious sites, represents by far the largest and most established component of Iraq's tourism sector.

Emerging Heritage and Leisure Tourism

Beyond religious tourism, Iraq possesses significant underdeveloped heritage tourism potential linked to its Mesopotamian archaeological sites, including ancient Uruk, Babylon and Ur, though leisure tourism infrastructure including hospitality, transport and visitor services remains at an early stage of development outside the pilgrimage cities.

Key Takeaway

- Iraq's Arbaeen pilgrimage to Karbala and Najaf is among the largest annual human gatherings in the world, anchoring a substantial religious tourism economy.

Opportunities for India

- Supply hospitality infrastructure, transport solutions and visitor services equipment to support pilgrimage-season capacity needs.
- Explore early-stage heritage tourism partnerships as Iraq's leisure tourism infrastructure develops.

Role of CCI India

- Facilitate engagement between Indian hospitality and infrastructure companies and Iraqi tourism and shrine authorities.
- Support Indian travel and pilgrimage service providers seeking to serve Indian and diaspora pilgrims travelling to Iraq.

6.16 Logistics

Current Status

Iraq's logistics sector is shaped by its strategic position linking the Gulf, the Levant and Turkey, and by ongoing efforts to modernise port, road and rail infrastructure, most notably through the Grand Faw Port project in Basra, intended to become one of the region's major deep-water container facilities and a key node in the proposed Development Road connecting the Gulf to Turkey and Europe.

Opportunities for Indian Companies

As Iraq's port and inland logistics infrastructure develops, opportunities exist for Indian companies in freight forwarding, warehousing, cold chain logistics for agricultural and pharmaceutical trade, and logistics equipment supply, particularly given the growing volume of Indian exports moving through Iraqi ports and land routes.

Key Takeaways

- Iraq's logistics infrastructure is undergoing significant investment, anchored by the Grand Faw Port project and the proposed Development Road corridor.
- These projects aim to transform Iraq into a regional trade and transit hub by improving connectivity between the Gulf, Turkey, and Europe, creating opportunities in logistics, warehousing, transport, and infrastructure development.

Opportunities for India

- Provide freight forwarding, warehousing and cold chain logistics services to support growing India-Iraq trade volumes.
- Supply logistics and port handling equipment as Iraqi port infrastructure expands.

Role of CCI India

- Support Indian logistics companies in assessing market entry opportunities linked to Iraq's port and corridor development projects.
- Facilitate information exchange on evolving Iraqi customs and trade facilitation procedures relevant to Indian exporters.

6.17 Construction

Current Status

Iraq's construction sector remains one of the largest components of non-oil economic activity, driven by residential housing shortages, reconstruction of conflict-affected areas, and public infrastructure investment. Housing demand significantly exceeds current supply in major urban centres including Baghdad, Basra and Erbil, creating sustained demand for residential construction, building materials and construction services.

Opportunities for Indian Companies

Indian construction companies, building material manufacturers and construction equipment suppliers can participate in Iraq's residential, commercial and public construction programmes, either as direct contractors, joint venture partners with Iraqi and international firms, or as suppliers of cement, steel, tiles, sanitary ware and other building materials for which Iraq relies significantly on imports.

Key Takeaway

- Iraq's housing shortage and reconstruction needs sustain strong underlying demand for construction services and building materials.

Opportunities for India

- Export building materials including cement, steel products, tiles and sanitary ware to meet import-dependent Iraqi demand.
- Pursue construction contracting and joint venture opportunities in residential and commercial development.

Role of CCI India

- Facilitate connections between Indian construction and building materials companies and Iraqi developers and contractors.
- Support Indian construction equipment manufacturers in identifying distribution partnerships in the Iraqi market.

6.18 Steel

Current Status

Iraq's domestic steel production capacity remains limited relative to national demand, leaving the country reliant on imports of finished and semi-finished steel products to meet requirements across construction, oil and gas infrastructure, and manufacturing. India, as one of the world's leading steel producers, is well positioned to supply this demand, particularly for rebar, structural steel, and flat and long steel products used in construction and infrastructure projects.

Opportunities for Indian Steel Exporters

Beyond direct trade, opportunities exist for Indian steel companies to explore distribution partnerships, warehousing arrangements and, over the longer term, potential investment in local steel processing or finishing capacity within Iraq, aligned with the country's construction and reconstruction programme.

Key Takeaway

- Iraq's limited domestic steel production capacity and substantial construction demand create a sustained import market for Indian steel products.

Opportunities for India

- Export rebar, structural steel and other construction-grade steel products to the Iraqi market.
- Establish distribution and warehousing partnerships with Iraqi steel traders and construction companies.

Role of CCI India

- Facilitate trade connections between Indian steel producers and Iraqi importers and distributors.
- Support exploratory engagement on potential local steel processing or finishing investment in Iraq.

6.19 Engineering Goods

Current Status

Iraq's demand for engineering goods spans industrial machinery, electrical equipment, pumps, valves, generators and capital goods required across the oil and gas, power, water and construction sectors. India's diversified engineering goods manufacturing base, encompassing both heavy capital equipment and precision components, aligns well with Iraq's import requirements across these sectors.

Opportunities for Indian Engineering Exporters

Indian engineering goods exporters can pursue direct export relationships with Iraqi industrial buyers and public sector procurement programmes, as well as after-sales service and spare parts supply arrangements that support long-term customer relationships in a market where equipment reliability and service availability are important purchasing considerations.

Key Takeaway

- Iraq's industrial and infrastructure sectors generate sustained demand for imported engineering goods across multiple categories.

Opportunities for India

- Export industrial machinery, electrical equipment, pumps, valves and generators to Iraqi industrial and public sector buyers.
- Establish after-sales service and spare parts supply networks to support long-term customer relationships.

Role of CCI India

- Facilitate participation of Indian engineering goods exporters in Iraqi public procurement and industrial supply opportunities.
- Support Indian companies in establishing local service and spare parts distribution arrangements in Iraq.

6.20 Water Management

Current Status

Iraq faces acute water management challenges arising from reduced Tigris and Euphrates River flows, upstream damming in neighbouring countries, ageing irrigation infrastructure, and growing municipal and agricultural demand.

The government has prioritised investment in irrigation modernisation, water treatment and desalination capacity, including seawater desalination facilities linked to oil sector water reinjection and municipal supply in Basra. These initiatives are aimed at improving long-term water security, enhancing agricultural productivity, and meeting the country's rising industrial and urban water requirements.

Opportunities for Indian Companies

Indian companies with expertise in irrigation technology, water treatment, desalination and water infrastructure engineering can support Iraq's water security programme, an area of both humanitarian significance and substantial commercial opportunity given the scale of investment required.

Key Takeaway

- Iraq's water scarcity challenges are driving sustained government investment in irrigation modernisation, water treatment and desalination infrastructure.

Opportunities for India

- Supply irrigation technology, water treatment equipment and desalination systems to Iraqi public and private sector buyers.
- Pursue engineering and project delivery partnerships in Iraq's water infrastructure modernisation programme.

Role of CCI India

- Facilitate connections between Indian water technology companies and Iraqi ministries responsible for water resources and municipal infrastructure.
- Support Indian companies in evaluating participation in donor-financed and government-funded water infrastructure projects.

6.21 Food Processing

Current Status

Iraq's food processing sector remains underdeveloped relative to the country's food consumption needs, with a significant share of processed food products imported rather than domestically manufactured. This gap spans packaged foods, dairy products, edible oils, and processed fruit and vegetable products, reflecting both limited domestic processing capacity and Iraq's broader dependence on food imports to meet consumption needs.

Opportunities for Indian Companies

Indian food processing companies can pursue both direct export of packaged and processed food products to the Iraqi market and, over time, joint venture or licensing arrangements for local processing capacity, particularly in categories aligned with Iraqi dietary preferences such as rice-based products, spices, pulses and dairy.

Key Takeaway

- Iraq's underdeveloped food processing capacity and heavy reliance on food imports create sustained export opportunities for Indian processed food products.

Opportunities for India

- Export packaged and processed food products, including rice-based products, spices, pulses and dairy, to the Iraqi market.
- Explore joint venture and licensing arrangements for local food processing capacity in Iraq.

Role of CCI India

- Facilitate trade connections between Indian food processing companies and Iraqi importers and distributors.
- Support Indian food processing companies in evaluating local partnership and investment opportunities in Iraq.

6.22 Banking and FinTech

Current Status and Reform Agenda

Iraq's banking sector remains dominated by state-owned institutions, with Rafidain Bank, Rasheed Bank and the Trade Bank of Iraq together holding the substantial majority of sector assets.

The Central Bank of Iraq has pursued a significant modernisation agenda, including enhanced minimum capital requirements for private banks, a National Financial Inclusion Strategy for 2025 to 2029 developed with the World Bank Group and other international partners, and the launch of inter-wallet digital payment transfer services.

FinTech Growth and Opportunities

Digital payment transaction volumes in Iraq have grown substantially, supported by mobile wallet platforms and the Central Bank's regulatory push toward reduced cash dependency, even as overall banked population remains well below regional peers.

Key Takeaway

- Iraq's banking sector is undergoing a significant capital and regulatory modernisation programme, alongside a rapidly growing but still nascent fintech and digital payments market.

Opportunities for India

- Offer core banking technology, digital payment platforms and mobile banking solutions to Iraqi banks pursuing modernisation.
- Explore partnerships with Iraqi fintech platforms leveraging India's own digital financial inclusion experience.

Role of CCI India

- Facilitate dialogue between Indian banking technology providers and the Central Bank of Iraq and Iraqi commercial banks.
- Support knowledge-sharing engagements drawing on India's digital public infrastructure and financial inclusion experience for Iraqi banking sector reform.

Chapter 7: Trade and Investment Opportunities

This chapter examines the composition and trajectory of India-Iraq trade in greater detail, identifies priority investment sectors, and sets out market entry considerations and risk factors relevant to Indian companies evaluating the Iraqi market.

7.1 Composition of India's Imports from Iraq

India's imports from Iraq remain overwhelmingly dominated by crude oil and petroleum products. In 2024, Iraqi crude oil exports to India were valued at approximately USD 28.1 billion, with total crude and petroleum product exports, including refined products and petroleum coke, bitumen and liquefied petroleum gas, reaching approximately USD 29.6 billion, according to trade data compiled from United Nations Comtrade and Iraqi sources. Non-petroleum imports from Iraq remain minor by comparison, comprising commodities such as raw wool, sulphur and limited quantities of dates and other agricultural products.

7.2 Composition of India's Exports to Iraq

India's exports to Iraq totalled approximately USD 3.3 billion in calendar year 2024 according to Comtrade data, with the Government of India separately reporting exports of USD 3.4 billion for fiscal year 2023-24, a growth of approximately 24 percent year-on-year.

Cereals, principally basmati and non-basmati rice, constitute the single largest export category at close to USD 930 million, followed by mineral fuels and petroleum-related products, meat and edible meat offal, pharmaceutical products, edible fruits, electrical and electronic equipment, machinery, ceramic products, tea and spices, and articles of iron and steel.

Table 7.1: India's Principal Export Categories to Iraq, 2024

Export Category	Approximate Value (USD Million)
Cereals (predominantly rice)	930
Mineral fuels, oils and distillation products	442
Meat and edible meat offal	377
Pharmaceutical products	220
Edible fruits, nuts and citrus peel	154
Electrical and electronic equipment	132
Machinery, nuclear reactors and boilers	128
Ceramic products	122
Coffee, tea, mate and spices	109
Articles of iron or steel	82

7.3 Recent Trade Trends

Iraqi trade directorate data reported in 2026 indicates continued diversification in India's exports to Iraq, with a recent quarter recording exports of approximately USD 545 million, led by rice (USD 169 million), frozen beef (USD 60 million), petroleum-related products (USD 50 million), bananas (USD 46 million), pharmaceuticals (USD 25 million), large-diameter steel pipes (USD 20 million), ceramic tiles (USD 16 million), and tea (USD 13 million), alongside smaller exports of sunflower seed oil and passenger vehicles. This composition highlights the growing breadth of Indian exports to Iraq beyond traditional food staples and pharmaceuticals.

7.4 Priority Investment Sectors

Formal two-way investment between India and Iraq remains modest relative to the scale of bilateral trade, reflecting Iraq's investment climate constraints and India's own historically trade-oriented rather than investment-oriented engagement with the Iraqi market.

Priority sectors for Indian investment include reconstruction and infrastructure, agriculture and food processing, pharmaceutical manufacturing and distribution, renewable energy, and light manufacturing joint ventures, each offering scope for deeper commercial engagement than trade alone permits.

7.5 Market Entry Strategy

Indian companies entering the Iraqi market typically benefit from establishing relationships with established local agents, distributors or joint venture partners familiar with Iraqi procurement processes, banking arrangements and regulatory requirements, rather than attempting direct market entry without local representation. Participation in Iraqi trade fairs, government tenders and business delegations, including those organised by CCI India and the Embassy of Iraq in New Delhi, offers a practical route to building the relationships necessary for sustained market presence.

7.6 Risks and Mitigants

Indian companies operating in or considering the Iraqi market should be aware of several risk factors, including regulatory and bureaucratic unpredictability, banking sector constraints affecting cross-border payments and correspondent banking access, security considerations that vary significantly by region, and payment delays associated with public sector procurement. These risks can be mitigated through the use of established local partners, appropriate trade finance and payment instruments, and close attention to the evolving regulatory environment, particularly the Central Bank of Iraq's ongoing banking sector reforms.

Key Takeaway

- India's imports from Iraq remain concentrated in crude oil, while exports to Iraq span a diversifying basket led by rice, pharmaceuticals, meat and steel products.

Opportunities for India

- Deepen export diversification beyond food staples into pharmaceuticals, engineering goods and consumer products.
- Pursue joint ventures and local partnerships in agriculture, pharmaceuticals and light manufacturing to move beyond a purely trade-based relationship.

Role of CCI India

- Support Indian exporters in identifying reliable Iraqi agents, distributors and joint venture partners.
- Provide guidance to Indian companies on navigating Iraqi banking, payment and regulatory considerations.

Chapter 8: How CCI India Can Support Iraq

This chapter sets out, in detail, the institutional role that CCI India proposes to play in facilitating deeper economic engagement between India and Iraq. It draws together the sector-specific roles for CCI India identified throughout this report into a structured institutional programme spanning trade promotion, investment facilitation, sector partnerships, and institutional mechanisms for sustained engagement.

8.1 Trade Promotion and Market Access

CCI India can serve as a structured gateway between Indian exporters and the Iraqi market, reducing the information and relationship barriers that smaller Indian companies in particular face when entering an unfamiliar market.

This includes disseminating information on Iraqi import regulations, tariff structures and procurement processes, and maintaining an updated database of verified Iraqi buyers, distributors and government procurement authorities relevant to Indian exporters.

- Organise sector-focused trade promotion campaigns targeting Iraqi demand in agriculture, pharmaceuticals, engineering goods and consumer products.
- Maintain a stakeholder database of Iraqi importers, distributors and government procurement contacts for use by Indian member companies.

8.2 B2B Matchmaking and Business Delegations

Structured B2B matchmaking and business delegations remain among the most effective mechanisms for converting market interest into commercial transactions. CCI India can organise outbound business delegations to Iraq and inbound delegations of Iraqi buyers and officials to India, complemented by buyer-seller meets structured around specific sectors such as agriculture, pharmaceuticals and engineering goods.

- Lead periodic outbound business delegations to Baghdad, Basra and Erbil comprising Indian companies across priority sectors.
- Host inbound delegations of Iraqi government officials, chambers of commerce and private sector buyers in India.

8.3 Investment Facilitation

Beyond trade promotion, CCI India can play a facilitative role in supporting Indian companies considering direct investment or joint ventures in Iraq, including reconstruction, agriculture, pharmaceutical manufacturing and renewable energy.

- Establish an investment facilitation desk to support Indian companies evaluating direct investment or joint ventures in Iraq.
- Liaise with Iraqi investment promotion authorities and provincial reconstruction bodies on behalf of interested Indian investors.

8.4 MSME and Startup Collaboration

CCI India's institutional experience in supporting Indian MSMEs offers a natural basis for structured MSME-to-MSME and startup collaboration with Iraq, spanning knowledge exchange on business registration and export readiness, joint venture facilitation in light manufacturing and services, and support for Iraqi entrepreneurs and startups seeking Indian technology partnerships and mentorship.

- Facilitate MSME-to-MSME joint ventures and trade partnerships between Indian and Iraqi small businesses.
- Support Iraqi startup ecosystem development through mentorship exchanges and technology partnership introductions with Indian startups.

8.5 Technology Transfer and Skill Development

Technology transfer and skill development form an important dimension of CCI India's proposed engagement, drawing on India's institutional experience in vocational training and industrial skill development to support Iraq's efforts to build a technically skilled workforce for its construction, oil field services, manufacturing and digital economy sectors.

- Support the establishment of vocational training partnerships between Indian skill development institutions and Iraqi technical institutes.
- Facilitate technology transfer arrangements between Indian equipment manufacturers and Iraqi industrial partners.

8.6 Healthcare, Pharma and Medical Tourism Partnerships

Given the depth of the existing India-Iraq healthcare relationship, CCI India can play a coordinating role in expanding structured referral partnerships between Indian hospital groups and Iraqi physicians, supporting Indian pharmaceutical companies seeking registration and distribution partnerships in Iraq, and promoting India as a medical tourism destination for Iraqi patients through targeted outreach to referring physicians and patient associations.

- Facilitate pharmaceutical registration and distribution partnerships between Indian companies and Iraqi importers.

- Support medical tourism promotion activities connecting Indian hospital groups with Iraqi referring physicians and patients.

8.7 Agriculture and Basmati Promotion

Building on India's position as the leading source of rice imports into Iraq, CCI India can support continued promotion of Indian basmati and non-basmati rice, alongside broader agricultural trade in pulses, spices, fruits and processed food products, through participation in Iraqi food and agriculture trade fairs and structured engagement with Iraqi grain and food importers.

- Support Indian basmati rice exporters and millers in strengthening brand recognition and distribution partnerships in Iraq.
- Facilitate participation of Indian agricultural exporters in Iraqi food and agriculture trade fairs.

8.8 Oil and Gas, Engineering and Infrastructure Partnerships

CCI India can support Indian oil field services, engineering and infrastructure companies in identifying sub-contracting and supply opportunities with the international consortia and Iraqi state oil companies leading Iraq's upstream, midstream and infrastructure investment programmes, including introductions to prime contractors already active in the Iraqi market.

- Facilitate introductions between Indian oil field services and engineering companies and prime EPC contractors active in Iraq.
- Support Indian infrastructure and construction companies in identifying reconstruction and donor-financed project opportunities.

8.9 Renewable Energy and Digital Economy Cooperation

As Iraq pursues its solar energy and digital financial inclusion agendas, CCI India can support Indian renewable energy equipment suppliers and fintech companies in engaging with Iraqi developers, the Ministry of Electricity and the Central Bank of Iraq, positioning Indian companies as partners in Iraq's energy transition and financial modernisation programmes.

- Facilitate engagement between Indian renewable energy companies and Iraqi solar project developers and the Ministry of Electricity.
- Support Indian fintech and digital payments companies in exploring partnerships aligned with Iraq's financial inclusion strategy.

8.10 Women and Youth Entrepreneurship

CCI India can incorporate a dedicated focus on women and youth entrepreneurship within its India-Iraq engagement programme, recognising the importance of inclusive economic participation to Iraq's long-term development, through mentorship exchanges, dedicated delegation slots, and knowledge-sharing on women-led and youth-led business models drawn from the Indian experience.

- Include dedicated participation slots for women and youth entrepreneurs within India-Iraq business delegations and trade fairs.
- Facilitate knowledge exchange on women-led and youth-led enterprise models between Indian and Iraqi business associations.

8.11 Institutional Mechanisms for Sustained Engagement

Sustained institutional engagement requires durable mechanisms beyond one-off delegations and trade fairs. CCI India proposes to establish a Joint Business Council with a counterpart Iraqi chamber of commerce, pursue chamber-to-chamber cooperation agreements, convene an Annual India-Iraq Business Summit, and maintain dedicated trade and investment facilitation cells to provide continuity of engagement between major events.

- Establish a CCI India-Iraq Joint Business Council with a counterpart Iraqi chamber of commerce.
- Convene an Annual India-Iraq Business Summit bringing together government, industry and institutional stakeholders from both countries.
- Organise regular sector-specific B2B meetings and trade missions to connect Indian and Iraqi businesses, identify commercial opportunities, and facilitate long-term partnerships.

8.12 Sector-wise CCI India Contribution Matrix

The following matrix summarises CCI India's principal proposed contribution across the priority sectors examined in this report, providing a consolidated reference for stakeholders assessing the scope of CCI India's institutional engagement with Iraq.

Sector	CCI India's Principal Contribution
Oil and Gas	Sub-contracting introductions with prime EPC contractors and Iraqi state oil companies
Agriculture and Basmati Rice	Trade fair participation, distributor introductions, brand promotion support

Date Industry	Processing partnership introductions, bilateral trade facilitation
Pharmaceuticals	Registration and distribution partnership facilitation
Medical Tourism and Healthcare	Hospital referral partnership facilitation, patient outreach support
Automobile Sector	Dealer network and component supplier introductions
Infrastructure Construction and	Reconstruction project information dissemination, contractor introductions
Renewable Energy	Developer and Ministry of Electricity engagement facilitation
Manufacturing and MSMEs	B2B matchmaking, joint venture facilitation, MSME capacity building
Digital Economy and IT	Fintech and IT services partnership facilitation with Iraqi financial institutions
Education and Skill Development	University partnership facilitation, vocational training institution linkages
Tourism	Hospitality and travel service provider introductions
Logistics	Freight, warehousing and port-linked partnership facilitation
Steel and Engineering Goods	Trade facilitation, distributor and after-sales partnership support
Water Management	Introductions to Iraqi water resource ministries and donor-financed projects
Food Processing	Trade facilitation, joint venture and licensing partnership support
Banking and FinTech	Dialogue facilitation with the Central Bank of Iraq and Iraqi commercial banks

Key Takeaway

- CCI India's proposed engagement spans trade promotion, investment facilitation, sector-specific partnerships and durable institutional mechanisms.

Opportunities for India

- Leverage CCI India's institutional facilitation across sectors to reduce market entry barriers and transaction costs.

Role of CCI India

- Serve as the principal institutional bridge between Indian industry and the Iraqi market across trade, investment and sector-specific engagement.

Chapter 9: Strategic Recommendations

This chapter consolidates the report's findings into a structured set of recommendations across short-term, medium-term and long-term horizons, addressed separately to the principal stakeholders in the India-Iraq economic relationship.

9.1 Short-Term Recommendations (0-12 Months)

- **Government of India:** Facilitate expanded correspondent banking access and trade finance support for Indian exporters to Iraq.
- **Government of Iraq:** Continue simplifying import documentation and customs procedures for priority Indian export categories such as rice, pharmaceuticals and machinery.
- **Embassy of Iraq in New Delhi:** Expand outreach to Indian industry associations and state government trade bodies to raise awareness of Iraqi market opportunities.
- **CCI India:** Launch a dedicated Iraq desk, publish an initial stakeholder database, and organise an inaugural business delegation to Baghdad and Basra.
- **Indian Businesses:** Engage established local agents and distributors before committing to direct market entry, and participate in early CCI India-led delegations.
- **Iraqi Businesses:** Engage with CCI India's stakeholder database and participate in inbound delegations to identify Indian sourcing and partnership opportunities.

9.2 Medium-Term Recommendations (1-3 Years)

- **Government of India:** Support the conclusion of updated bilateral trade and investment protection agreements that reflect Iraq's evolving regulatory environment.
- **Government of Iraq:** Continue banking sector modernisation and capital adequacy reforms to improve correspondent banking access for foreign trade partners.
- **Embassy of Iraq in New Delhi:** Support the establishment of a Joint Business Council with CCI India and participate in an Annual India-Iraq Business Summit.
- **CCI India:** Establish the Joint Business Council, convene the first Annual India-Iraq Business Summit, and expand sector-specific facilitation across pharmaceuticals, agriculture and renewable energy.

- **Indian Businesses:** Pursue joint ventures and local partnerships in agriculture, pharmaceutical manufacturing and light engineering rather than relying solely on direct exports.
- **Iraqi Businesses:** Explore joint venture and technology transfer partnerships with Indian companies in manufacturing, food processing and skill development.

9.3 Long-Term Roadmap (3-5 Years and Beyond)

- **Government of India:** Support Indian participation in Iraq's reconstruction financing architecture, including through concessional credit lines for Indian contractors and equipment suppliers.
- **Government of Iraq:** Continue economic diversification away from hydrocarbon dependency, creating a broader base of opportunity across manufacturing, agriculture and services for Indian partners.
- **Embassy of Iraq in New Delhi:** Institutionalise regular ministerial and business-level dialogue mechanisms to sustain long-term engagement momentum.
- **CCI India:** Establish CCI India as the principal institutional reference point for Indian companies engaging with Iraq, with a sustained programme of research, delegations and sector partnerships.
- **Indian Businesses:** Build durable local manufacturing, distribution and after-sales service presence in Iraq across priority sectors identified in this report.
- **Iraqi Businesses:** Deepen integration with Indian supply chains and technology partners as Iraq's private sector and MSME ecosystem matures.

Conclusion

India and Iraq share a longstanding and substantive economic relationship, anchored historically in energy trade and increasingly extending into agriculture, pharmaceuticals, healthcare, engineering and, prospectively, infrastructure and renewable energy. Iraq's scale, its reconstruction and diversification priorities, and its geographic position at the crossroads of the Gulf, the Levant and Central Asia together present a distinctive and underexploited opportunity for Indian industry, particularly small and medium enterprises seeking to diversify beyond more crowded and competitive export markets.

This report has examined Iraq's economy, its principal development challenges, and the sector-by-sector opportunities available to Indian companies, from oil and gas services and basmati rice to renewable energy, pharmaceuticals and digital financial services. It has also set out, in detail, the institutional role that CCI India proposes to play in translating this opportunity into sustained commercial engagement, through trade promotion, investment facilitation, sector-specific partnerships and durable institutional mechanisms including a proposed Joint Business Council and Annual India-Iraq Business Summit.

Realising this potential will require sustained commitment from government, industry and institutional stakeholders on both sides. CCI India remains committed to playing its part in this endeavour, and looks forward to working with the Government of India, the Government of Iraq, the Embassy of Iraq in New Delhi, and the wider Indian and Iraqi business communities to build a deeper, more diversified and more resilient economic partnership between the two countries in the years ahead.

Looking ahead, the success of India-Iraq economic cooperation will depend on sustained institutional engagement, regular business dialogue, and the ability of both countries to convert identified opportunities into commercially viable partnerships. Strengthening collaboration through trade missions, business forums, policy exchanges, and investment facilitation will be essential to enhancing private sector confidence and expanding bilateral trade. With complementary economic strengths and shared long-term interests, India and Iraq are well positioned to deepen their strategic economic partnership, creating new avenues for investment, technology transfer, and sustainable growth that deliver lasting benefits to businesses and citizens in both countries.

THANK YOU

CCI India sincerely thanks Your Excellency for the warm hospitality and gracious interaction with our team. We greatly value the opportunity to discuss strengthening India-Iraq bilateral trade and economic relations and look forward to deepening cooperation, expanding business engagement, and creating new avenues for trade, investment, and mutually beneficial partnerships between the two countries.



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